

EG Update

送信者: Risa Grais-Targow 受信日時: 2026-08-31 20:52

【メール原文】

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Dear Satoshi,

It's Risa Grais-Targow, Eurasia Group's practice head for Latin America. I'm picking up the pen for Ian this week as part of a rotating series of guest authors.

In the era of the "Donroe Doctrine" (our #3 Top Risk this year), US policy toward Latin America has become increasingly important for investors. In my two decades following the region, I've never seen a US administration this active in the hemisphere, and all signs suggest that will continue post-midterms. But what about post-Trump? In today's update, I'll unpack why US policy interest in the region is here to stay regardless of who wins the White House in 2028, along with what to expect in the second half of Trump's term.

I'll also touch on the extent to which the US policy focus is benefiting newly elected conservative governments in the region, all of whom are leaning into the bilateral relationship with the US. The bottom line: Security dividends are more material than economic ones, which will ensure continued economic ties with China—and potentially undermine conservative leaders facing tough economic adjustments.

Midterm defeat won't meaningfully constrain the Donroe Doctrine

With Trump trying to move past Iran, the administration is eager to shift back toward Latin America, a trend that is unlikely to abate after November's midterms. Eurasia Group expects Republicans to lose the House (85% odds) and views the Senate as a toss-up. A shift to divided government will likely lead to an uptick in scrutiny of Trump's regional policy; expect congressional hearings on Treasury's management of Venezuelan oil revenues and on the disappearance of Ecuadorian fishing boats, among other issues.

But Congress is unlikely to stop Trump's ambitions. Most of his regional policies have been implemented through executive action (including the entire Venezuela licensing and sanctions regime), and he will likely maintain his interventionist approach to the region in the second half of his term. Indeed, recent weeks have seen the Trump administration announcing an unprecedented oil deal with Venezuela, threatening more military actions against regional criminal groups, and asserting that US dominance in the hemisphere will never be questioned again.

In practice, this will mean different things for different countries. For Venezuela, it means the US will maintain an assertive role over governance and resources. An unprecedented new oil agreement entails a Pentagon stake in 17 oil fields (with some 65 billion barrels of reserves), with a share of the output directed to the US Strategic Petroleum Reserve. That arrangement is the latest evidence that Trump is wholly committed to working with Interim President Delcy Rodriguez and is unlikely to push for fresh elections anytime soon. Sensitivities around sovereignty and natural resources mean the deal will likely be politically costly for Rodriguez, even if it helps her to buy time amid incremental US-backed transition

talks.

For Cuba, an issue that is near and dear to Secretary of State Marco Rubio's heart, expect the pressure campaign to ramp up. Taking action on Cuba offers less obvious political upside to the US than the Venezuela operation (which wove together oil, immigration, counter-narcotics, and geopolitics—and a great photo op of Nicolas Maduro handcuffed in his tracksuit). But it appeals to Trump's focus on his legacy, and voices within the administration have kept up a constant drumbeat on Cuba after the successful Maduro extraction. Large-scale military action is unlikely, with recent signals from the administration acknowledging that the Cuba project will take time. Still, the US will keep pushing for a broad economic deal and some sort of symbolic political change, given the lack of a viable opposition figure who could quickly take over.

Beyond Cuba, the administration will seek continued security cooperation with allies and escalate demands on President Claudia Sheinbaum of Mexico. On the security front, we're likely to see more joint operations in the region, including in Ecuador, Guatemala, and possibly Colombia, now that conservative President Abelardo De la Espriella is in office. Colombia hosts the largest US military and intelligence presence on the continent. Mexico is thornier, with Trump increasingly pushing up against Sheinbaum's red lines, including visa sanctions against former president Andres Manuel Lopez Obrador's son. But her consistent capitulation to US requests will result in a continued ramp-up in pressure to turn over Morena-affiliated figures to US authorities. That creates a risk of unilateral US action that puts more strain on the bilateral relationship and spills over into trade ties, which Sheinbaum has so far kept on a separate track.

And Trump will probably continue to weigh in on elections in the region, including the upcoming vote in Brazil. The presidential palace is expressing concern to my colleagues in Brazil about the extent of possible US intervention in October's election and a scenario in which the US does not recognize the result. But Trump's ability to shape election outcomes will likely be minimal; the main exception is Argentina, where Washington's financial support helped President Javier Milei outperform expectations in last year's midterms, and possibly Honduras. However, the latter was already shifting right, and Trump is otherwise endorsing leading candidates.

Deeper US engagement likely to extend beyond Trump, but tools will differ

Beyond Trump, the renewed US policy focus toward the region is likely to persist, regardless of who wins the US presidency in 2028. Of course, the approach will vary depending on the party and profile of the next administration, and the region may no longer rank as high in the national security strategy. But I would argue that the US is unlikely to fully revert to the pre-Trump "benign neglect" toward Latin America seen across multiple US administrations over the past few decades, for several reasons.

The first is natural resources, which have become a national security focus on both sides of the aisle. The region is rich in minerals, oil and gas, and agricultural resources, and a global backdrop of greater geopolitical conflict has only elevated the value of those commodities. The region's copper and lithium reserves will help to power AI growth, electric vehicles, and dual-use technologies, with the specific policy focus dependent on the ideological profile of the next president, but US engagement in this area effectively guaranteed. Rare earths will also serve as a particular policy anchor in US-Brazil ties, even if bilateral tensions are likely to endure in the near term.

In addition, there is bipartisan consensus around limiting China's footprint in the region. Trump has been more aggressive in demanding that allies expel China (most notably in Panama) and limit future investment in sensitive sectors (see Chile's submarine cable). But this concern predates Trump,

including in recent Democratic administrations. If anything, Trump's rapprochement with China suggests that stance could become more hawkish under different leadership, particularly regarding more strategic sectors. Beyond critical minerals and logistics, the next battleground for US-Chinese competition in the region is likely to focus on AI and technology, potentially prompting a future US administration to demand regional allies choose sides.

On Venezuela policy, the US will remain engaged regardless of what party leads the White House. Trump's transactional, oil-centric approach would likely shift to some extent—and the credible threat of further military intervention would probably diminish. A Democratic-led administration would likely stress governance and transparency, straining ties with Rodriguez if she is still in power. But if anything, Democrats are typically more pro-engagement, and there is broad bipartisan consensus that an economically stable Venezuela with less outward migration is in the strategic interest of both the US and the region. That suggests a snapback to more aggressive sanctions is highly unlikely, with US economic policy normalization on an irreversible path, even if bringing oil production back up to peak levels will still likely take at least a decade.

Yet the policy tools deployed by a future White House would differ, likely reverting to more traditional mechanisms. Trump has used unconventional tools to support allies, providing direct financing (for Milei) and even using sanctions to target critics of his friends (as in Costa Rica). His policies have also skewed much more toward sticks than carrots, with most regional governments cooperating with US demands to avoid punitive tariffs, sanctions, and even military action.

That approach would probably change under the next administration, potentially offering more upside to regional partners, with incentives likely tied to the development of supply chains for strategic sectors. Economic backing would likely come via multilateral institutions and potentially development banks, rather than the US Treasury. A future administration, even a Trump-aligned successor, would also probably use sanctions and tariffs in a more targeted manner, though preexisting tariffs are likely to stick.

One scenario worth flagging: A progressive Democrat wins the White House in 2028 and places more emphasis on human rights, rule of law, and transparency. That stance would likely generate friction with regional governments (particularly in Central America) and could undermine cooperation. However, a progressive administration would also likely prioritize domestic policy over foreign policy, limiting the potential for meaningful fallout or escalation.

Conservative allies see clearer security gains than economic benefits

For now, increased US engagement may offer more opportunity in some areas than others for a new cohort of conservative governments that are leaning into the US relationship. The seven regional elections over the past year have all seen conservative incumbents or candidates winning, and there's reason to expect that trend to mostly continue over the next year in El Salvador, Guatemala, and Argentina (Brazil is the likely exception). These new governments are generally pursuing closer ties to Trump, including via initiatives like the so-called Shield of the Americas.

So far, the benefits of this ideological alignment have been clearest on the security front—not surprising, given that this maps directly onto Trump's own domestic priorities of stemming immigration and drug flows. Security is now the top voter concern in most of the region, and several newly elected administrations campaigned on strongman policies akin to those of El Salvador's President Nayib Bukele, who has quickly become a sort of folk hero throughout Latin America.

Against that backdrop, US security assistance can bolster the political standing of conservative administrations and potentially help to extend the honeymoon periods of newly elected leaders. Security is an area where voters tend to give their leaders the benefit of the doubt for longer. That's most evident in Ecuador, where joint US security operations have helped President Daniel Noboa to convey an effective strategy for combatting criminal groups, even if homicide rates remain near record highs. A similar dynamic is likely to emerge in Colombia, where De la Espriella can build on historic US security ties to deliver on some of his hardline campaign pledges.

To date, the economic benefits for most partners in Latin America have been less clear. While most of the region has fared better than other parts of the world in terms of Trump's tariffs, allies are still subject to US duties, and reciprocal trade agreements skew toward greater benefits for the US. Moreover, despite US pressure to restrict Chinese investment in strategic sectors, US and Western firms more broadly aren't necessarily filling the void. One complaint I often hear from regional policymakers is about the opportunity cost of appeasing US demands on China, given the lack of alternatives.

That reality means even the closest US allies will likely continue to test boundaries when it comes to courting Chinese financing and investment, even as they lean into security ties. In fact, a weaker Trump post-midterms could encourage bolder actions on this front. Notably, Chile's foreign minister recently visited Beijing, as did Noboa, who announced a roadmap for deeper trade and investment ties. And despite his initial anti-China rhetoric, Milei recently renewed Argentina's \$19 billion swap line with China for a second time.

Diminished US economic upside adds to a key vulnerability for new conservative governments, many of whom are paying a political cost for difficult economic decisions or are facing more daunting adjustments. That's most evident in Bolivia, where there are already doubts over whether President Rodrigo Paz (in office for ten months) will finish his five-year term. Meanwhile, in Chile, President Jose Antonio Kast's early decision to raise fuel prices prompted a steep decline in his popular support. Colombia's De la Espriella faces a significant fiscal adjustment and a highly polarized electorate.

Such economic challenges suggest that the latest conservative wave in the region may well prove less durable than renewed US policy interest, though governments that successfully address security concerns can have more staying power.

Happy to discuss,

Risa

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